



Market Briefs Pro

Read less news

Happy Saturday, Pro Briefers!

This week we've identified a Broad Market Shift: Changing cultural shifts around cannabis are creating opportunities for banks, tech companies, and security firms to profit.

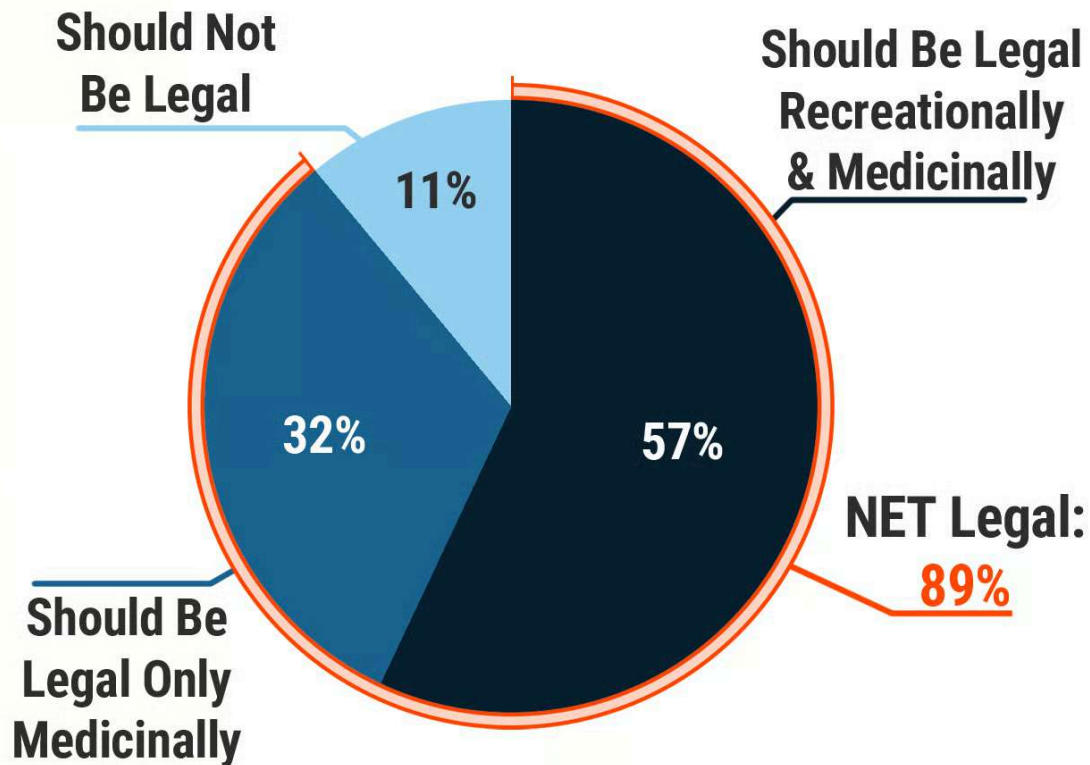
Let's break down how investors could see green with this shift.

In 2015, cannabis was legal in only 27 states for either recreational or medical use.

As of February 2025, cannabis is legal in 39 states, with over 15,000 dispensaries.

What changed? *Demand.* Cultural views around cannabis have been turning positive and changing regulations have meant more people have more access to buy cannabis.

Public Opinion On Marijuana Legalization In The U.S.



About 1 in 10 U.S. Adults Say Marijuana Should Not Be Legal

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Data [via](#) Pew Research

Several cannabis companies have even gone public:

- Canopy Growth Corporation (CGC)
- Aurora Cannabis Inc. (ACB)
- Jazz Pharmaceuticals plc (JAZZ)

However, in 2024, 32% of cannabis businesses were not profitable and only 40% managed to break even.

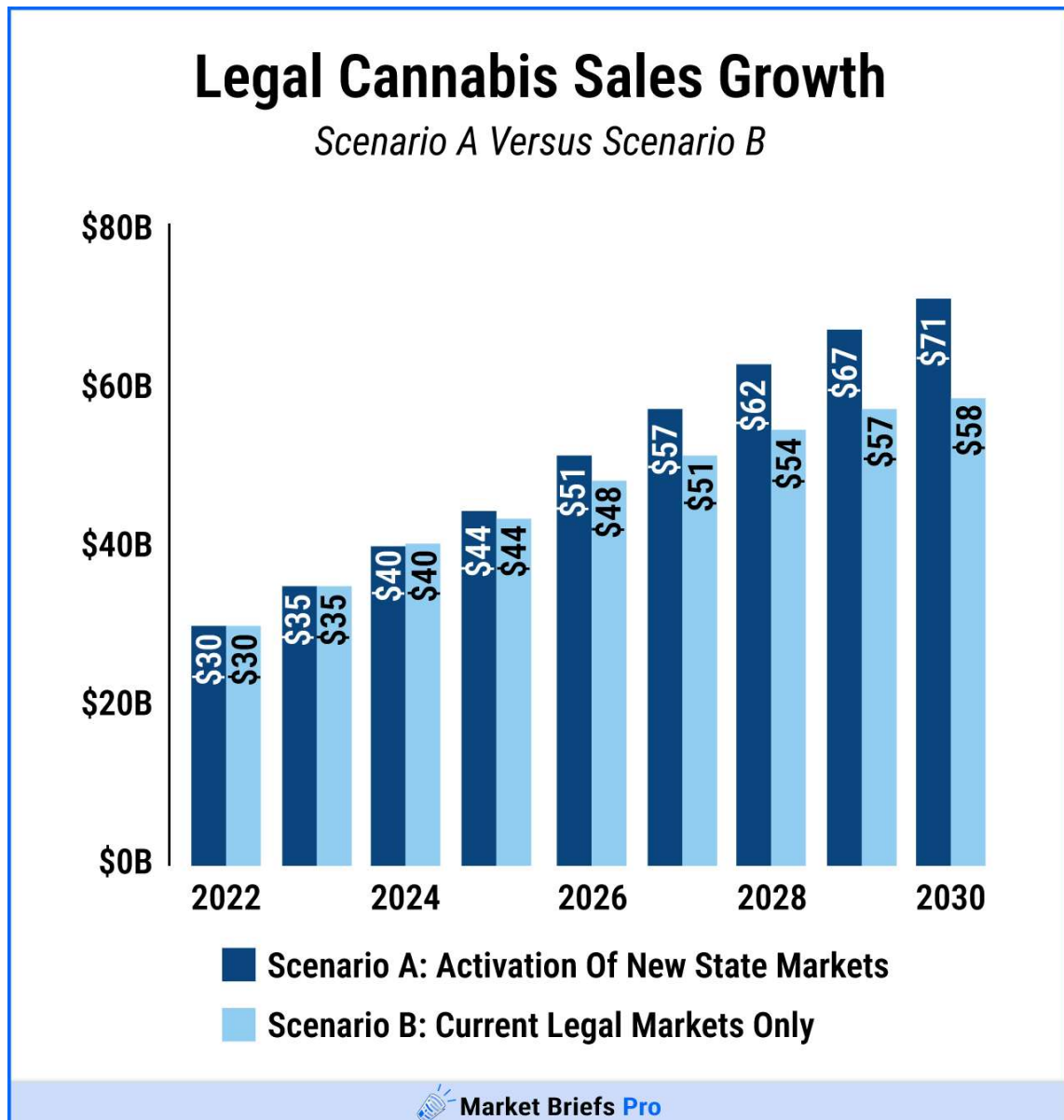
We sat down with Frank Costa, an expert in financial services, risk management, and insurance in the cannabis industry, for an exclusive interview.

According to him, the profitable issues with cannabis businesses is two-fold:

"The overall cost of doing business and starting a business is extremely high. Couple that with IRS rule 280E, which states that cannabis

businesses can't write off expenses, many are off to a very big disadvantage at the get-go."

But for cannabis investors - *the grass may be turning greener...*



Data via [New Frontier Data](#)

President Trump and Health and Human Services Secretary Robert F. Kennedy Jr. are both in favor of removing regulations around the substance and decriminalizing it federally.

- A bill introduced in 2024 in Congress would decriminalize cannabis further at a federal level.
- The bill is still under consideration by the Senate and has not been brought to the Senate floor for a vote.

In short - if cannabis is legalized further, that could create more opportunities for tech, security, and banking companies to provide services to cannabis businesses.

Increased access to those services could spike demand among consumers and lead to reduced expenses and more profits for investors.

We want your feedback: Tell us what you think about this edition of Market Briefs Pro [by clicking here](#).

BANKING

Going Digital

Fact: Cannabis is illegal federally.

This makes it challenging for banks to process cannabis payments.

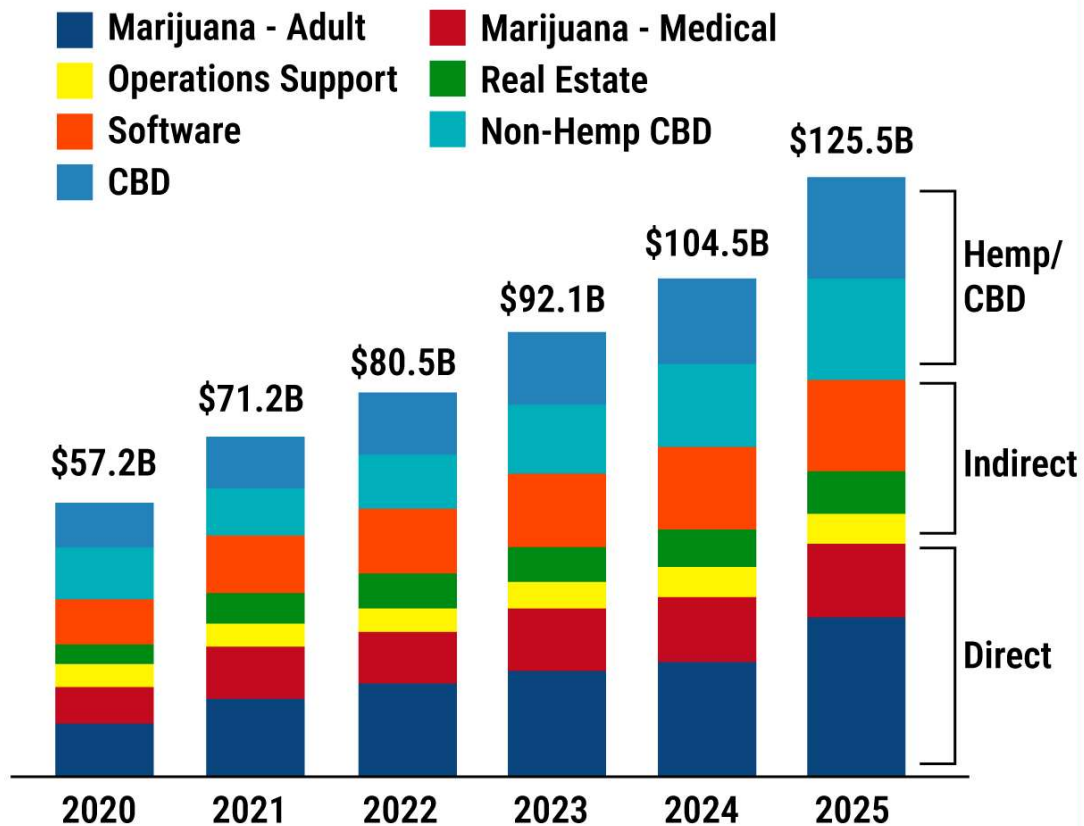
Major institutions like JPMorgan Chase (JPM), Bank of America (BAC), and Citigroup (C) operate in more than one state.

- They have to follow federal regulations first, despite cannabis being legal in many states.

The bottom line: Difficult-to-navigate regulations and higher costs have meant the largest and most reputable banks do not currently work with cannabis businesses.

The Legal Cannabis Industry Represents A \$100B+ Underbanked Niche

Total Addressable Market



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Data [via](#) Green Check Verified

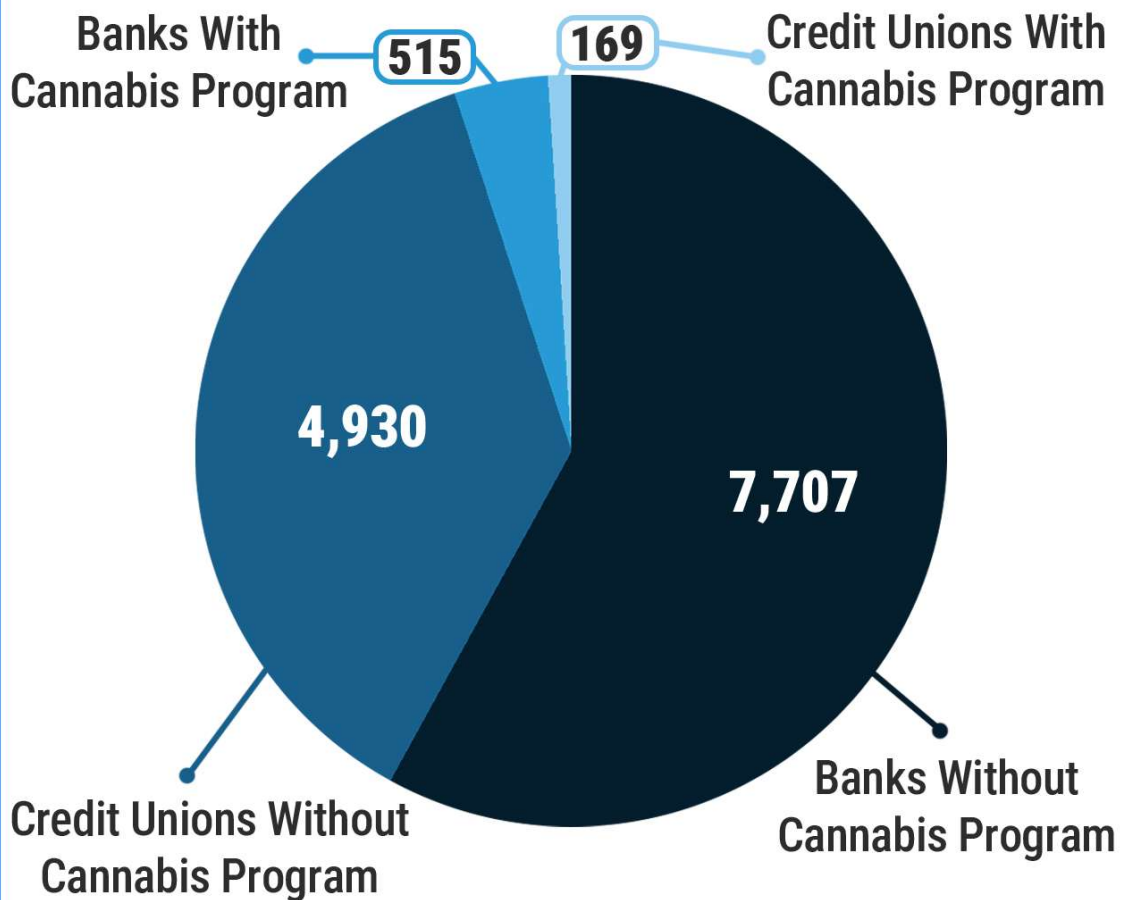
But that hasn't stopped some *regional* banks from providing services to cannabis businesses, like Safe Harbor Financial (SHFS).

Specifically, Safe Harbor Financial is working to provide electronic banking and a system for digital payments to cannabis brands.

The reason? Most cannabis brands are cash only, as major banks and payment providers like Mastercard (MA) and Visa (V) don't allow customers to pay with a credit or debit card for cannabis.

In 2024, Congress passed the SAFER Banking Act, which allowed banks to provide digital services to cannabis businesses.

Limited Banking Access For U.S. Cannabis Businesses



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Data [via](#) Reuters

Safe Harbor Financial has since emerged as one of the leaders in the space.

Simply put, Safe Harbor allows cannabis brands to make ACH transactions, which allow businesses to send payments directly through a bank electronically, the first to do it in the industry.

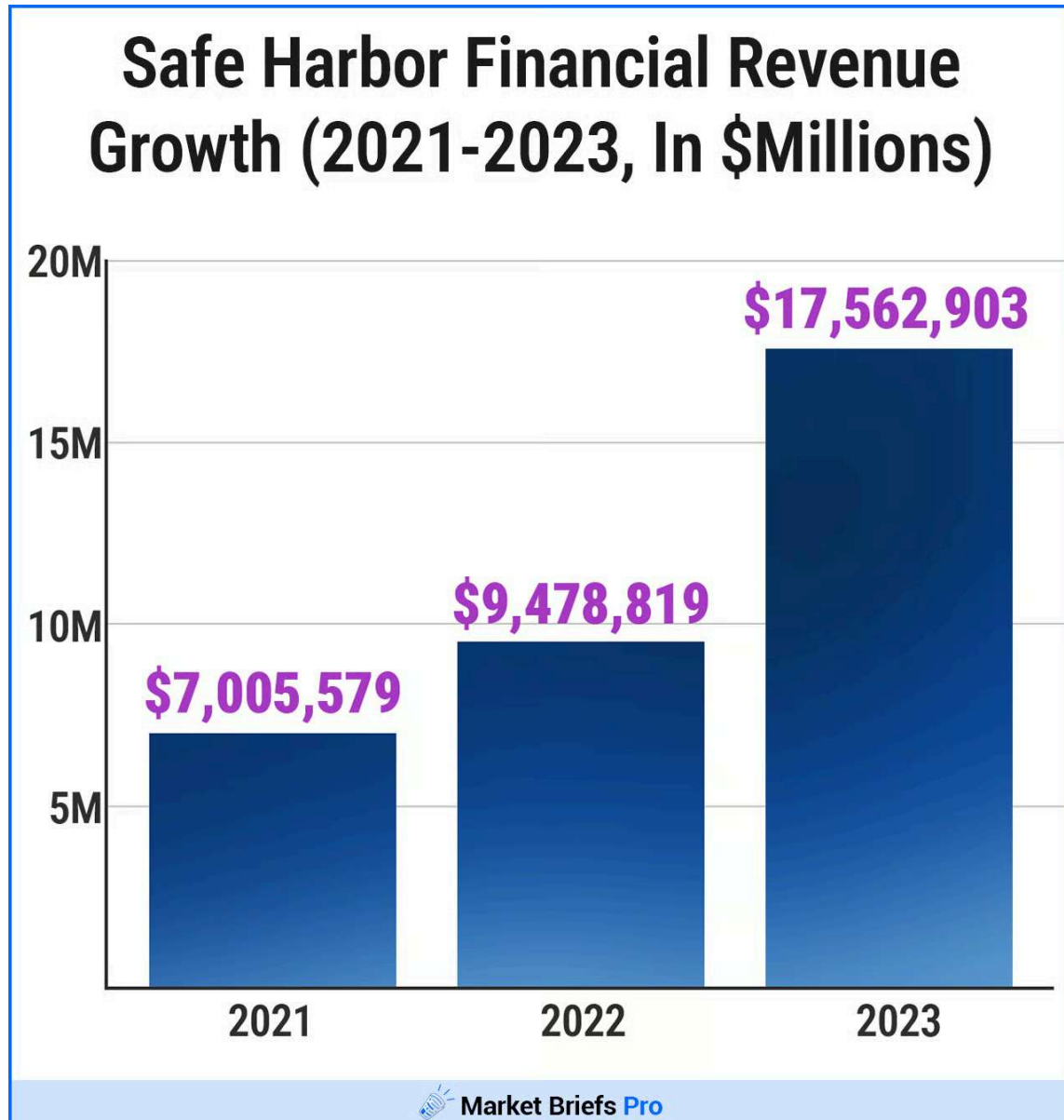
Cannabis businesses can also bank electronically through the company's app, which means they can take wire transfers and checks as a form of payment.

- Safe Harbor has processed over \$25 billion in cannabis-related funds through its network of partner banks as of January 2025.

The company has also expanded alongside cannabis demand - now operating in 40 states.

As a result, the company has seen increased revenue - \$17 million in 2023, up from \$9 million in 2022.

Note: Safe Harbor still has taken on substantial losses due to the regulations and lower revenue from cannabis brands.



Data via SEC

- It lost nearly \$20 million in 2023.
- It 2022, it lost around \$2 million.

What happened? While the losses seem stark, the company revealed it more than doubled its workforce in anticipation of future growth, which led to lower cash on hand.

Still, the changing landscape could mean more opportunities for banks to get into cannabis before major players like JP Morgan.

SHF Holdings, Inc. (SHFS)

0.3955
(-95.98%)

3 Year Price →



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Data via Yahoo! Finance

Note Part 2: Safe Harbor's stock is below \$1 - that creates an opportunity, but also makes the stock extra risky.

Another bank working to provide services to cannabis brands is First Citizens Bank (FCNCA).

In fact, First Citizens has created a specialized banking program just for cannabis businesses that helps them meet financial regulatory metrics.

It's also helping cannabis businesses on the growth side - in 2024, the bank extended a \$1 billion line of credit to cannabis company MC Nutraceuticals.

First Citizens BancShares, Inc. (FCNCA)

5 Year Price →

1,847.81
(+335.41%)



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Data [via](#) Yahoo! Finance

- That's one of the largest lines of credit to a cannabis brand to date.

Cannabis businesses may also become more legitimized with a bank like First Citizens backing them, as they are the 19th largest bank in the U.S., with around \$200 billion in assets.

The bank saw its after-tax profit increase to \$239 million in 2024, higher than the \$237 million it earned in 2023.

In its latest 10k for 2023 (released in 2024), First Citizens reaffirmed its support for cannabis businesses as well, expressing its interest in expanding services in the industry in the coming years.

"I think there's a lot of innovation out there and I think the early adopters like Safe Harbor have a lot of market share because they've done it the right way. But I do believe there's going to be more competition there especially in the digital side in the future." - Frank Costa

Tracking & SaaS

For cannabis producers, cannabis regulations are especially costly.

Why? Two types of cannabis are sold - recreational and medical. But state guidelines limit the amount of recreational and medical cannabis producers can grow.

The problem? Each state has different guidelines on how much medical and recreational cannabis a producer can grow, and keeping track of which is which can get complicated.

To do this effectively, cannabis businesses need specialized Radio-Frequency Identification (RFID) tools that can geolocate and digitally store each crop's inventory number.

- This tech is similar to the tech found in key fobs and work badges.



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Data via Seed To Sale Security

For years, inventory was done manually with pen and paper for cannabis businesses, which ate into revenue significantly.

Zebra Technologies (ZBRA) creates RFID tracking tools for businesses, which reduce costs and time managing inventory.

Cannabis businesses are utilizing these tools to promote operational efficiency.

"There are a lot of tools available now - from GPS tracking to drone deliveries. All of this increases efficiency, reduces costs, and improves the quality of the product, which can make cannabis businesses more profitable." - Frank Costa

How does it work? The tech monitors cannabis from seed to sale, meaning producers can find a specific crop at any stage.

- These detailed records can then be tracked by the government for compliance.

Zebra's systems can also label which crops are for medical purposes and which are for recreational use.

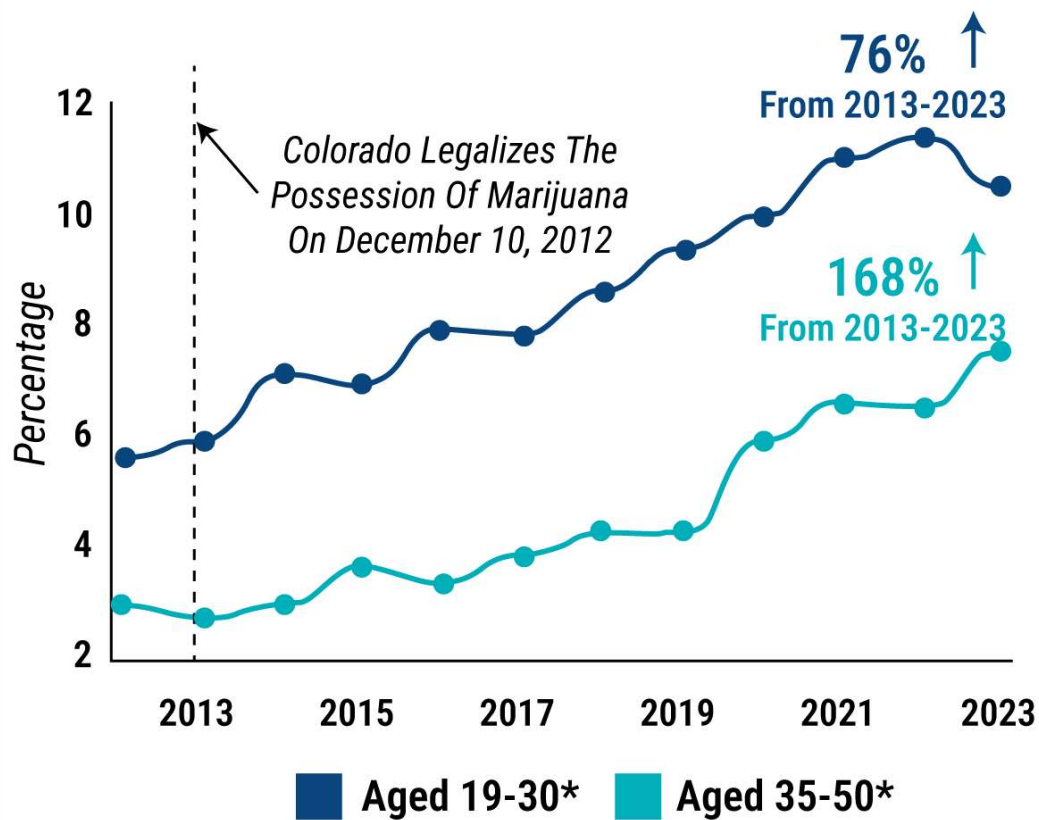


Data [via](#) Yahoo! Finance

Labels can include lab results, cannabis types, and potency levels, and if the specific plant has met regulatory standards.

As demand expands for cannabis, effective tracking will allow cannabis businesses to scale alongside that growth, without compromising on efficiency or accuracy.

Daily Marijuana Use



**The Increase From 2013 To 2023 Is Statistically Significant At The .01 Level (*)*

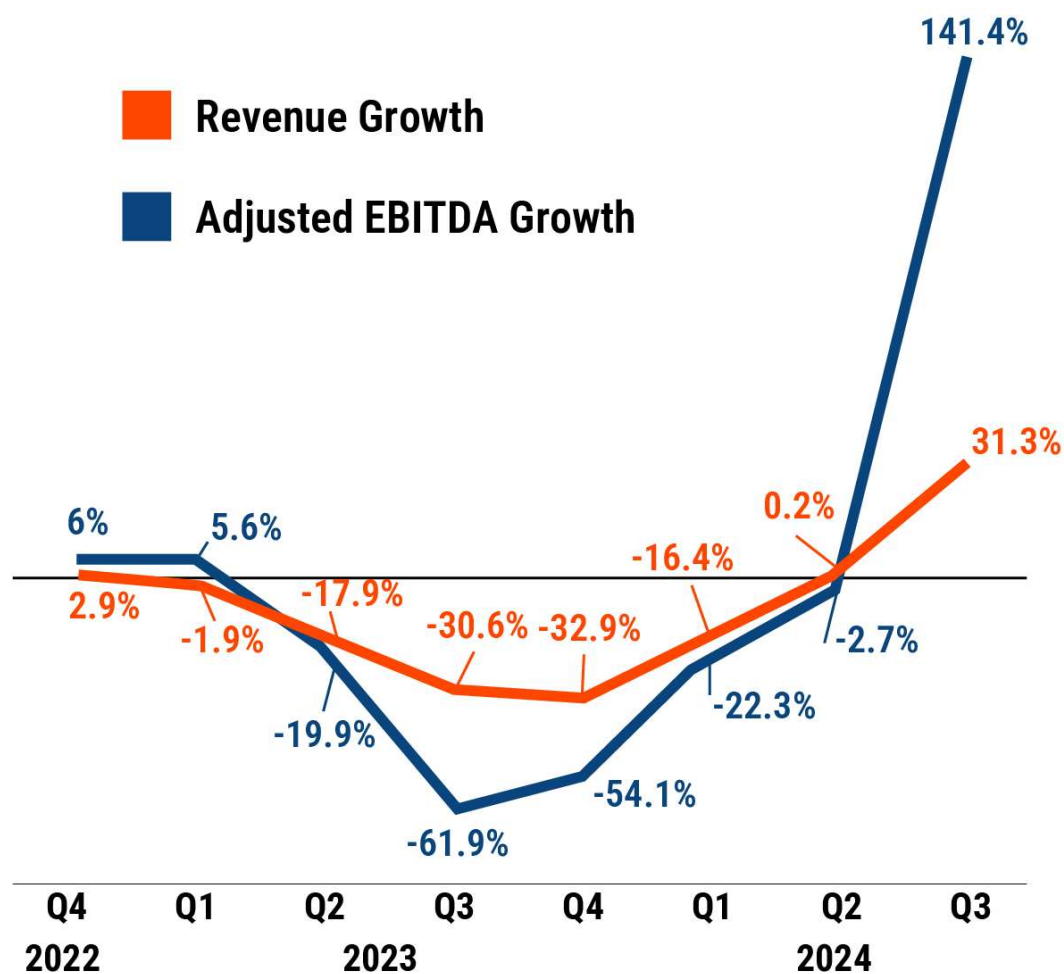
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Data via Monitoring The Future

Zebra Technologies is enabling that growth - in its latest 10k for 2024, the company reported \$2.4 billion in gross profit.

- That was an increase from \$2.1 billion in 2023.

Zebra Technology Net Sales Growth



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Data via Seeking Alpha

Once cannabis is ready to be sold though, it can be placed on the market, which is where WM Technology, Inc. (MAPS) comes in.

The company created Weedmaps, a platform that connects consumers with cannabis retailers, brands, and products.

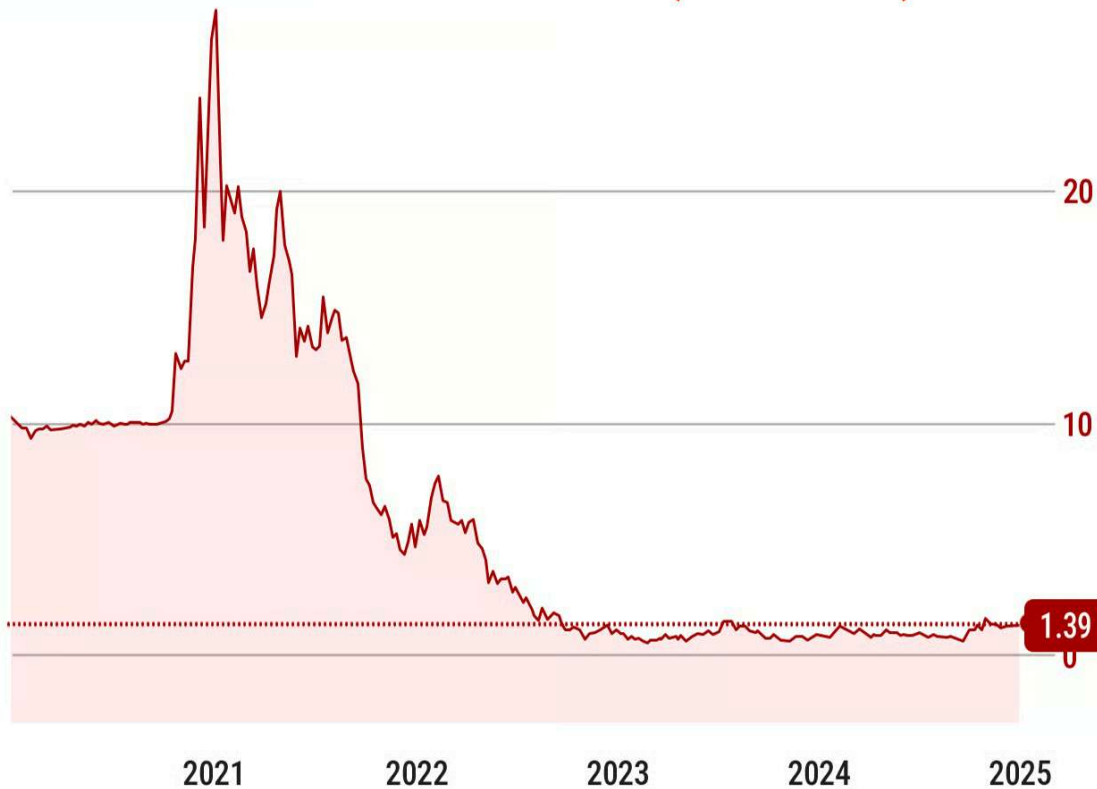
What does that mean? It works as the marketing arm for cannabis businesses, handling the advertising, and increasing brand awareness.

WM Technology also works as a SaaS company - selling its compliance and operating software tools to cannabis brands - which helps save it money.

WM Technology, Inc. (MAPS)

5 Year Price →

1.39
(-86.30%)



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Data [via](#) Yahoo! Finance

Weedmaps specifically has a long history in the cannabis industry - it was launched in 2008 as one of the first apps for cannabis businesses.

- As of 2023, it had over 5,000 paying businesses.

All of its operations are housed in the cloud as well - so low overhead costs + higher demand = more cash for WM Technology.

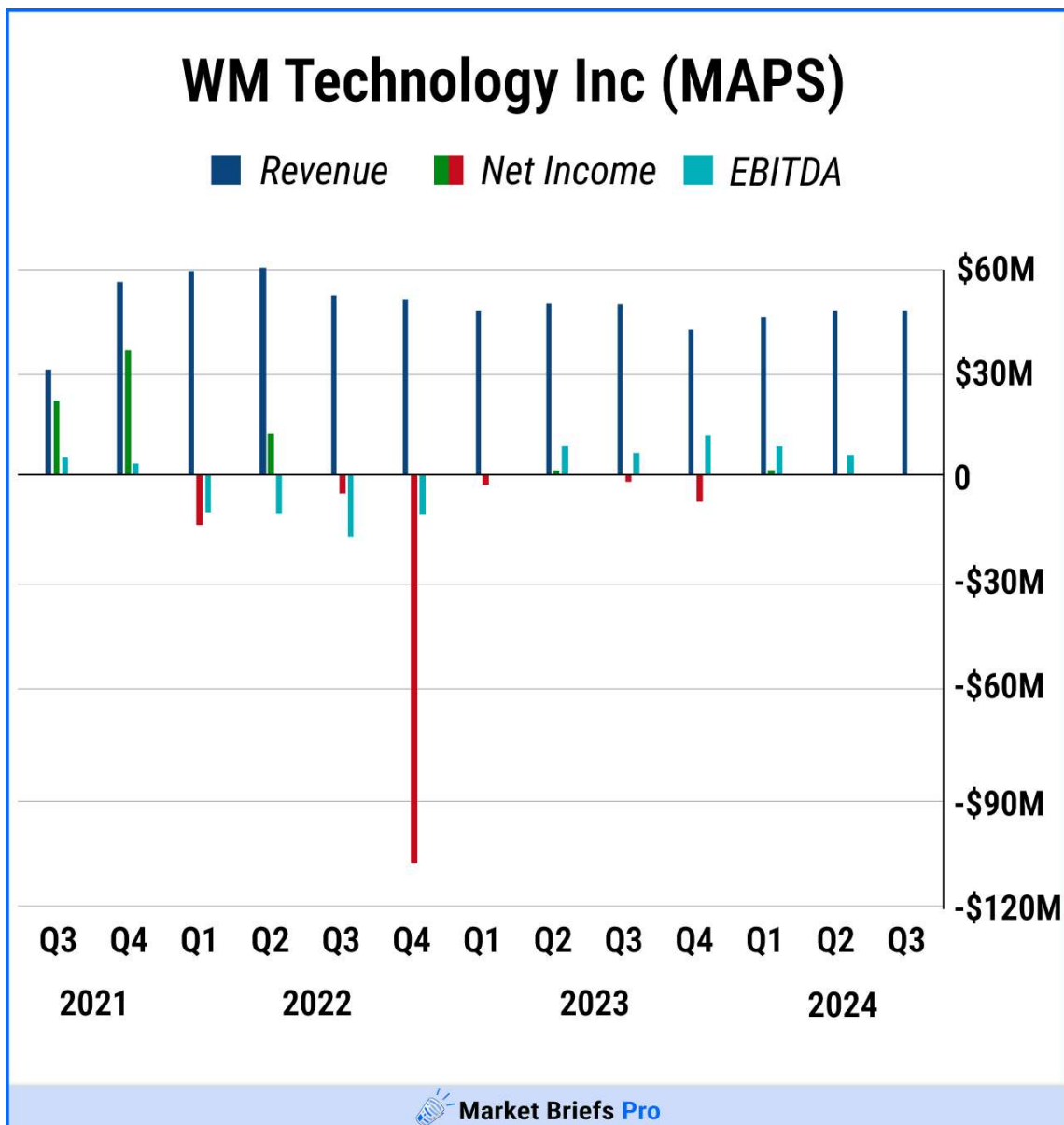
And this marketing tech and SaaS could be crucial for cannabis sales in the future, too.

"If you're out there searching Google, Instagram, or Facebook, it's going to be difficult to find cannabis and sketchy. Places like Weedmaps have established themselves as credible source and hold a significant market share." - Frank Costa

WM even acquired Sprout in 2021, a competitor cannabis marketing firm. Through the acquisition, it now offers the most advanced AI and automation

advertising tools in the industry.

The company reported at the start of Q4 2024 that it had over \$45 million in free cash, a 31% year-over-year increase.



Data [via](#) Guru Focus

Its revenue dipped in 2022, however, as higher marketing costs ate into cannabis businesses' ability to advertise.

- The company founders also proposed that WM could go private in the future, leading to a sharp drop in its share price.

Note: WM's stock is around \$1 - that creates an opportunity, but also makes the stock extra risky.

Tech though is still reducing costs and increasing efficiency for cannabis businesses today, creating an opportunity for investors to profit as demand shifts and regulations change.

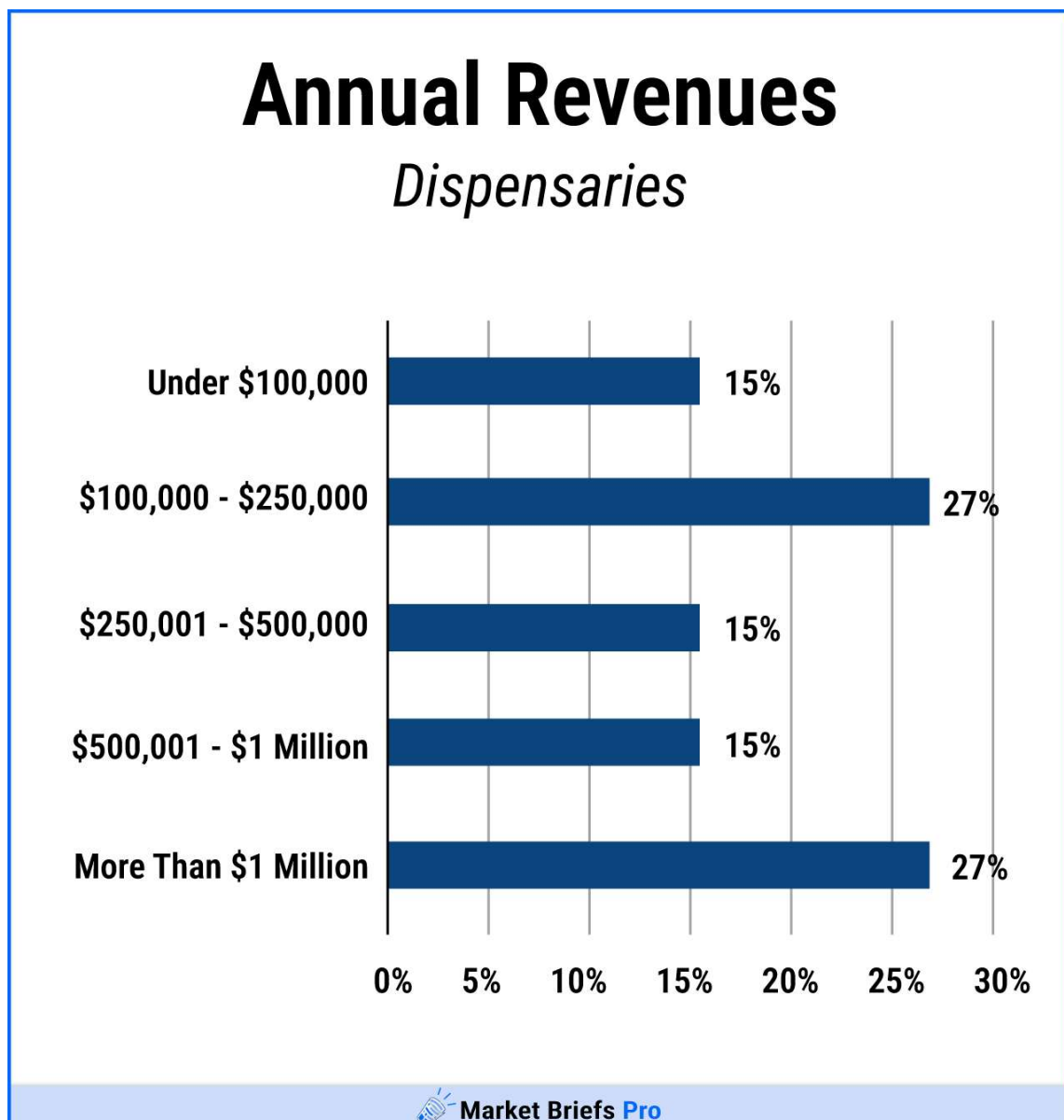
SECURITY

Handling Cash

Reminder: Despite the passing of SAFER, most major banks still are not accepting digital payment methods.

According to Safe Harbor Financial, 70% of cannabis businesses only take cash.

And with 27% of dispensaries bringing in roughly \$100,000 per month in revenue, protecting and transporting all of that cash becomes a security issue.



- Cannabis businesses have become prime targets for theft in recent years due to the amount of cash they hold.

And even if cannabis is legalized federally, there's no guarantee that major banks will immediately start working with cannabis businesses.

- When cannabis was legalized in Canada in 2018, some banks still refused to work with cannabis businesses due to concerns over financial crime compliance.

Plus, a study from BDS Analytics found that over 35% of cannabis consumers still prefer to use cash in states where it's legal, mainly for anonymity, financial security, and routine.

In short - until digital banking and payments are normalized in the industry, cannabis businesses are storing their cash in safes and transporting it to banks in armored vehicles.

One of those companies that is providing state-of-the-art safes to cannabis businesses is Diebold Nixdorf (DBD).

It's one of the largest safe producer companies in the world, making it a top choice for cannabis businesses that need to store large amounts of cash.

Known for creating security infrastructure for banks, like ATMs and self-serve kiosks, many of Diebold Nixdorf's products are also being used by dispensaries due to their ability to protect cash.

Diebold Nixdorf, Incorporated (DBD)

1 Year Price →

42.74
(+78.08%)



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Data [via](#) Yahoo! Finance

Its CashGuard safes are designed for industrial use and come in different sizes and configurations.

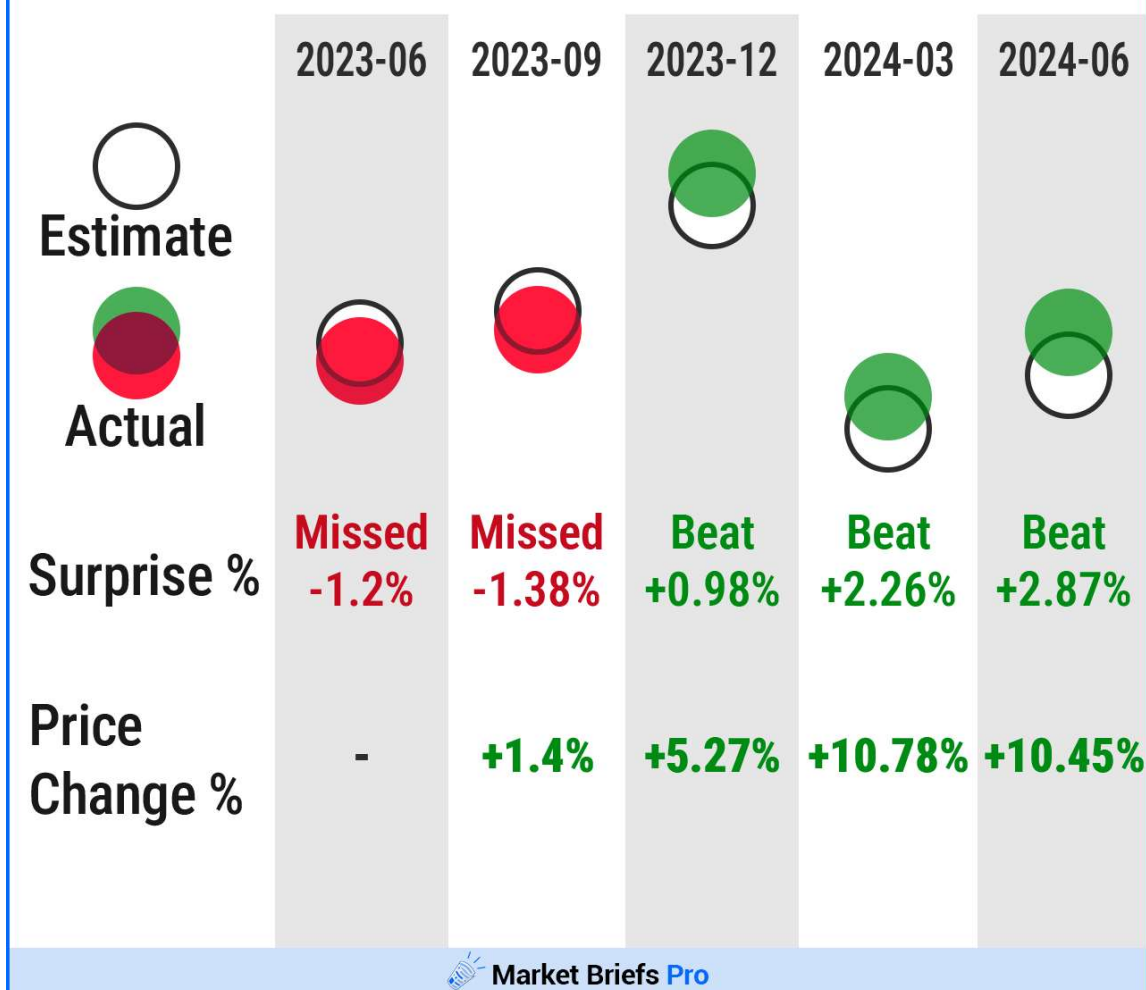
- This is important for a cannabis business, because each store needs a custom safe depending on its demand and layout.

In addition, Diebold Nixdorf is equipped with silent alarms - once triggered, they automatically alert the authorities and the business owners without letting the attackers know help is on the way.

In English? These safes can withstand up to 15 minutes of an attack with conventional tools, which can stop most attackers before police arrive.

Diebold Nixdorf reported \$3.75 billion in revenue in 2024, up from \$3.46 billion in 2023, mainly driven by its cash security business.

Diebold Nixdorf Inc (DBD) Revenue Quarterly Estimate History



Data via Guru Focus

The cash can't stay in a cannabis business forever, though - eventually, it will need to be transported to a bank.

That's part of the reason why the CEO of Brink's Company called the cannabis industry a "beautiful opportunity."

When we spoke to Frank, he reaffirmed this idea, even as more payments for cannabis switch to digital.

"I think that there'll always be an opportunity. If you look at some other industries with high value products, these all still require safes and security. It's just a good risk management strategy to have those."

Breakdown. Brink's Company (BCO) is an armored vehicle company that transports cash and other valuables.

In 2018, Brink's entered into a multi-year contract with Canopy, one of the largest cannabis companies in the world, to help it transport cash at its dispensaries.

Brink's also has its own line of ATMs specifically for cannabis businesses - this way it can better track how much cash is flowing at these establishments and work to prevent theft.

But Brink's work doesn't always start with transporting cash - it also helps with transporting the product itself.

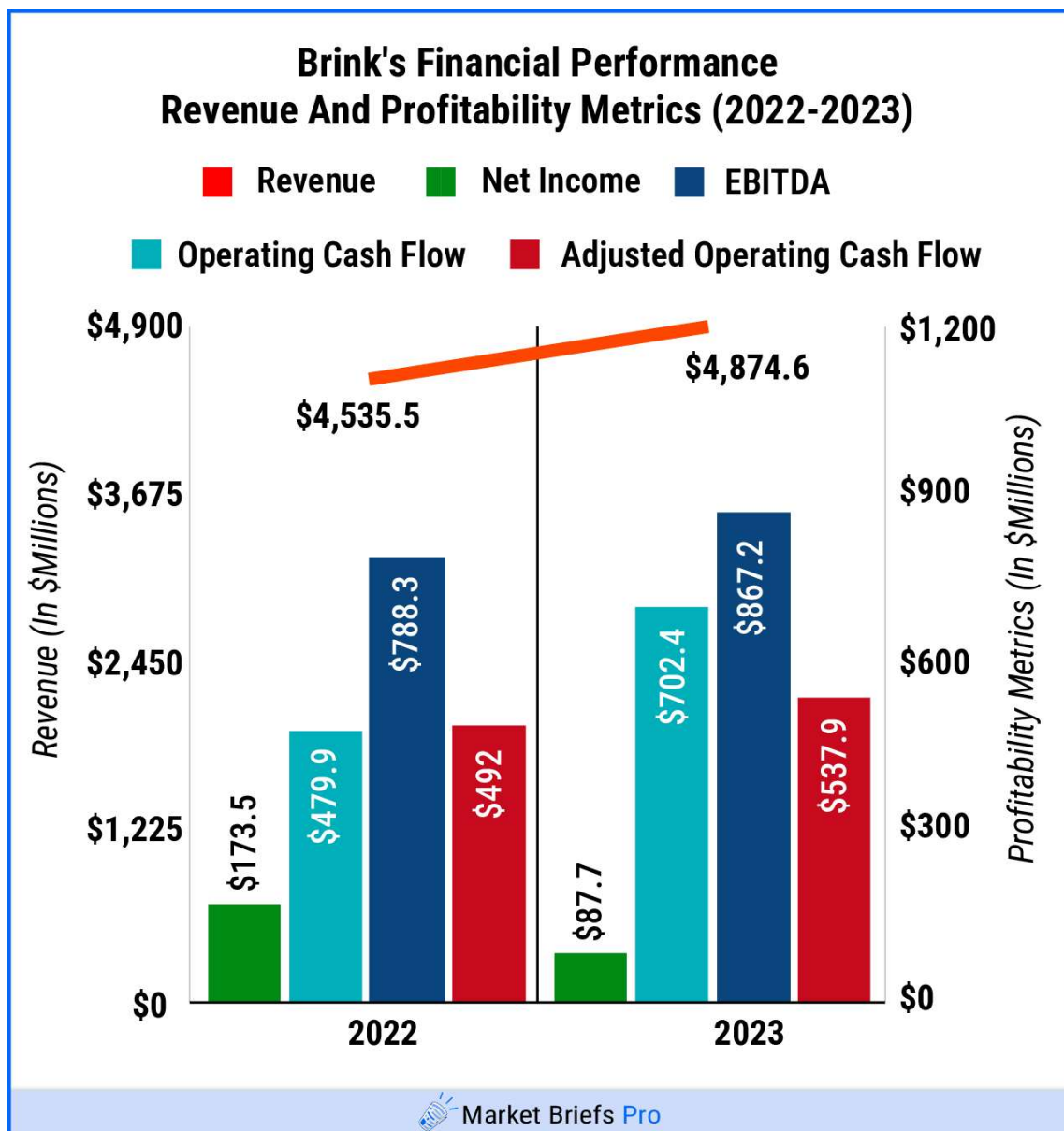


Data via Yahoo! Finance

- The company's armored vehicles help transport cannabis to and from locations. This prevents robberies before the plants reach a store to be sold.

Brink's efforts in the cannabis industry have translated into increased profits as well.

It increased its revenue every year from 2021-2024, from \$4.2 to \$5 billion.



Data [via](#) Seeking Alpha

RISKS

Haze Ahead

Demand for cannabis is rising, but investors should keep an eye on a few things within this industry as the shift develops:

First, cannabis is still not legal on the federal level, and also not legal in all 50 states.

That could lead to big profitability challenges, according to Frank Costa:

"Not being able to do business on a grander multi-state scale is extremely costly. I think as the environment changes federally, that will be a game changer. But we're not there yet today."

- Plus, consumers must buy 21+ to buy it.

This significantly limits a cannabis business's earning potential in the short term, which could mean fewer opportunities for investors to profit.

Second, the White House is in favor of making changes to its legality federally, but no changes have been made yet.

Legislative changes to a substance often take years or even decades, so it's unclear if any change will happen soon.

- A new prescription drug takes on average 12-15 years to be federally approved for consumer use.

Administrations also change over time - so it's possible future administrations could add new regulations to the industry as well.

Lastly, cannabis companies like Canopy are taking on huge losses while regulations and consumer sentiment shift.

There is a big possibility that many cannabis businesses could go bankrupt in the meantime, which could mean any investment today could have a higher chance of going to zero than other types of businesses in the future.

REVIEW

Cannabis Businesses Are Lighting Up

"I think that all of the noise that we're talking about with the stigmas, the acceptability, the challenges with banking, all of those things are going to dissipate over a fairly short period of time - and I think those who have established a business or investment will be thriving." - Frank Costa

In the end, investors will want to take note of this shift, as the cannabis industry continues to grow in demand, and challenge traditional industries like tobacco and alcohol due to growing revenue.



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